

“The real money to be made in mining stocks and oil and gas stocks is before there are any data for guys like you and me to analyze,” Jason told me. “It’s those oil and gas stocks that are up 100 times where you go, ‘Yeah, but the time when it was a one- or two-bagger, there wasn’t anything there for an analyst to dig into.’ The only people who got it were the people who bought the lottery ticket from the beginning. And they won.

But you can’t build a system around picking those kinds of stocks.”

By contrast, you could buy a small Panera or a small Chipotle or a small Dunkin’ Donuts when they were coming out of the chute. There was enough to analyze. “You could get a really good long run out of some of those quick-service restaurant ideas,” he said.

I asked about stock buybacks, which boost ROE. He’s agnostic, generally.

But he’s leery of buybacks and no sales growth. “If you have a company with tons of cash flow but top-line [sales] growth is 5% or less, the stock doesn’t go anywhere,” he said. “IBM is a good example. Good ROE. Cheap. But the absence of top-line growth means the decline in share count has been offset by multiple contraction.” As a result, the stock goes nowhere.

Jason is reluctant to buy a high-ROE company where the top line isn’t at least 10 percent. But when he finds a good one, he bets big.

“I started the fund to manage my own money,” he told me. “I said to people if you can’t pick winners, you should be in exchange-traded funds (ETFs). But if you can pick winners and you put only 1 percent in your best idea, that’s irrational.”

Jason’s fund allows him to put up to 20 percent in any one stock, though he has a self-imposed limit of 12.5 percent. The top five typically make up 50 percent of the fund. These are high-quality companies. “There is no junk in the portfolio,” he said. “If one of these guys has a bad quarter, the stock doesn’t fall 35%. It falls 3% and then the ROE kicks in, and they are back to normal in no time.”

When do you sell, I asked? “If the ROE doesn’t fall below 20%, generally, I don’t sell,” Jason answered, “unless the valuation gets stupid.”

And what about insider ownership? He seems to prefer owner-operators, as I do and as our study shows you should — more on that